

Two Levels Arrived Before the News

Gold sits at the top of its published range and Nvidia below the bottom of its own, a day before the print.

THE READING

Nvidia closed Monday at \$209.93, down from \$214.72, against a published Risk Range of roughly 213 to 230. It is trading below the floor of its own range the day before it reports. Gold spot is \$4,616.80 against a band ceiling of \$4,617 — twenty cents of room. The thirty-year Treasury sits at 5.25%, having printed 5.33% last week, a nineteen-year high. The KOSPI closed Friday at 6,912.96, eighty-seven points short of the 7,000 named as the semiconductor trigger.

Options imply a move of about six percent on Wednesday, some \$282bn of market value. The mood is not fear. Positioning went to its maximum long last week and the volatility band still reads 13.90 to 16.54. Call it committed calm.

WHAT WISDOM WOULD SAY

Jon Elster, in *Ulysses and the Sirens*, argues that a rational agent who knows his own weakness binds himself in advance, because the self who arrives at the moment of decision is worse placed to judge, not better. The mast is not an admission of stupidity. It is the recognition that the moment supplies its own arguments.

Two rules are now at their levels, and both are inconvenient. The gold rule said sell at the top of the published range; gold has arrived there while the dollar makes cycle lows and every reason to keep it is loud. The semiconductor rule had a floor; Nvidia closed beneath it, and the temptation is to let Wednesday settle whether the floor ever mattered.

In each case the argument for setting the rule aside is the argument the rule was written to survive. A precommitment is not tested by how wise it looked when written. It is tested on the morning it costs something.

THE RISK IT JUSTIFIES

This is not a morning to open a new directional position on Wednesday's number. The event carries a priced distribution and no level at which you are gently wrong.

Where a rule has been reached, execute it rather than reopen it. A partial trim in gold at the published ceiling costs little if the range is raised tonight, and settles the question if it is not. Do not add semiconductor exposure beneath a floor into an event you cannot size; if the exposure is wanted, size it at what a six percent adverse gap would cost, and no more.

What would change this. A KOSPI close above 7,000 before Wednesday is a signal rather than a mood. And if tonight's work lifts the gold ceiling above 4,617, the rule has moved rather than been broken — a different thing, and permitted.

*Which of your rules were written when you knew less, and
which were written when you were calmer?*